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S275121

No. _____

No. S275121

In the Supreme Court of the State of California

In the Supreme Court of the State of California

PETER QUACH,

Plaintiff-Petitioner,

v.

CALIFORNIA COMMERCE CLUB, INC.,

Defendant-Respondent.

Second Appellate District, Case No. B310458
Los Angeles County Superior Court, Case No. 19STCV42445
The Honorable Michael L. Stern, Judge

PETITION FOR REVIEW

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June 20, 2022

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TABLE OF CONTENTS

Page

I. ISSUES PRESENTED FOR REVIEW 8

II. INTRODUCTION 10

III. STATEMENT OF CASE 13

A. Factual Background 13

1. Peter Quash's employment and termination. 8

B. Superior Court Proceedings 15

2. Respondent's arbitration agreement and its execution. 9

C. Court of Appeal's Split Opinion Reversing Trial Court 19

IV. REASONS WHY REVIEW SHOULD BE GRANTED 9

A. Following Morgan, This Court Should Declare Which Ordinary Procedural Rules of California Law Applies to Waiver of the Contractual Right to Arbitration 9

D. The United States Supreme Court's Decision in *Morgan* Abrogated the Federal Line of Authority Behind California's Requirement of Prejudice 21

1. California's current jurisprudence on arbitration waiver. 9

IV. REASONS WHY REVIEW SHOULD BE GRANTED 23

2. Morgan abrogates the prejudice requirement established in St. Agnes. 11

A. Following *Morgan*, This Court Should Declare Which Ordinary Procedural Rules of California Law Applies to Waiver of the Contractual Right to Arbitration 23

V. CONCLUSION 11

1. California's current jurisprudence on arbitration waiver. 23

2. Morgan abrogates the prejudice requirement established in *St. Agnes* 26

3. The resulting need for clarification of the applicable California law for arbitration waiver in cases arising under the FAA. 27

B. This Court Should Determine Whether the CAA Should Continue to be Interpreted Consistently with the FAA's Identical Statutory Command Following *Morgan* 29

TABLE OF AUTHORITIES
TABLE OF AUTHORITIES (continued)

Cases: **Page(s)**

City of Ukiah v. Ukiah Fire Fighters
(1966) 64 Cal.2d 104 11

Doers v. Golden Gate Bridge etc. Dist.
(1979) 23 Cal.3d 180 (*Doers*) 12, 31

Doers v. Golden Gate Bridge etc. Dist.
(1979) 23 Cal.3d 180 10

DRG/Beverly Hills, Ltd. v. Chopstix Dim Sum Cafe & Takeout III, Ltd.
(1994) 30 Cal.App.4th 54 25

Iskanian v. CLS Transp. L.A., LLC,
(2014) 59 Cal.4th 348 ..... 4, 6

Erdman Co. v. Phoenix Land & Acquisition, LLC
(8th Cir. 2011) 650 F.3d 1115 ..... 21, 26

Keating v. Superior Court,
(1982) 31 Cal.3d 585 10

Gloster v. Sonic Automotive, Inc.
(2014) 226 Cal.App.4th 438 40

Lynch v. California Coastal Com.,
(2017) 3 Cal.5th 470 ..... 10, 11

Hall Street Associates, L.L.C. v. Mattel, Inc.
(2008) 552 U.S. 576 33

Morgan v. Sundance, Inc.,
(U.S. May 23, 2022) 142 S.Ct. 1708 ..... 4, 5, 6, 7, 11

Iskanian v. CLS Transp. L.A., LLC
(2014) 59 Cal.4th 348 ..... *passim*

Sobremonte v. Superior Court,
(1998) 81 Cal.App.4th 980 10

Jordan v. Pac. Auto Ins. Co.
(1965) 232 Cal.App.2d 127 12

St. Agnes Med. Ctr. v. PacifiCare of Cal.,
(2003) 31 Cal.4th 1187 ..... *passim*

Keating V. Superior Court
(1982) 31 Cal.3d 585 24

Khalatian v. Prime Time Shuttle, Inc.
(2015) 237 Cal.App.4th 651 37

Lynch v. California Coastal Com.
(2017) 3 Cal.5th 470 24

Moncharsh v. Heily & Blase
(1992) 3 Cal.4th 1 33

Montana v. Wyoming
(2011) 563 U.S. 368 28

I. ISSUES PRESENTED FOR REVIEW

In 2003, this Court adopted a non-exhaustive, multi-factor test for deciding whether a party has "waived" its contractual right to compel arbitration — a test lower courts were required to apply under both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA"). (*St. Agnes Med. Ctr. v. PacifiCare of Cal.* (2003) 31 Cal.4th 1187, 1195-1203 (*St. Agnes*); *see also Iskanian v. CLS Transp. L.A., LLC* (2014) 59 Cal.4th 348, 374-78 (applying *St. Agnes* test).)[1] The most "critical" factor, according to the Court, was prejudice to the party asserting waiver. (*St. Agnes*, 31 Cal.4th at 1203.) This focus on prejudice, however, does not exist under California contract law waiver analysis, which has historically focused entirely on the conduct of the waiving party. (*See id.* at 1195 n.4.) *St. Agnes* justified this departure based on a "policy favoring arbitration" under the FAA and the CAA. (*Id.* at 1195-96.)

On May 23, 2022, the United States Supreme Court in *Morgan v. Sundance, Inc.* (U.S. May 23, 2022) 142 S.Ct. 1708 (*Morgan*) unanimously reversed the line of federal cases upon which *St. Agnes* relied. It squarely held that the FAA prohibits courts from requiring a showing of "prejudice" as a condition of establishing waiver. (*Id.* at 1713 (abrogating *Carcich v. Rederi A/B Nordie* (2d Cir. 1968) 389 F.2d 692 (*Carcich*), and similar

[1] As both cases explain, the term "waiver" has become a shorthand term for the loss of the contractual right to arbitrate by waiting too long to assert it. (*St. Agnes*, 31 Cal.4th at 1195 n.4; *Iskanian*, 59 Cal.4th at 374.) This Petition adopts the same terminology.

cases from eight other federal circuits.) *Morgan* makes clear that the FAA must treat arbitration contracts no differently than any other contract in applying waiver or any other contract principles. *Morgan*, then, overturns the *St. Agnes* test at least to the extent that the FAA applies.

In the lower court proceedings, the parties in this case disagreed as to whether the CAA or the FAA applied—though they agreed that the dispute might be immaterial at the time because the standard was the same. But that was before *Morgan*.

Thus, this case presents the following issues:

1. Does the FAA govern the arbitration rights in this case? If so, does the prejudice requirement of *St. Agnes* apply, or does the FAA under *Morgan* prohibit the application of an arbitration-specific waiver and prejudice requirement in favor of the "ordinary procedural rule" of California contract law? If there is a prohibition on arbitration-specific contract rules, what general contract principles apply to claims under the FAA that a party has relinquished its contractual right to arbitration? (*Morgan*, 142 S.Ct. at 1713.)

2. Alternatively, if the CAA applies in this case, should there be a distinction between the CAA and the FAA? Does the CAA (particularly Code of Civil Procedure § 1281) authorize, unlike the FAA, the creation of an arbitration-specific rule of "waiver" requiring a showing of prejudice to the party asserting waiver? Or does Section 1281 (mandating enforcement of arbitration agreements "save

upon such grounds exist for revocation of any contract")

contract") bar the creation and application of the arbitration-specific rules, as

bar the creation and application of the arbitration-specific rules, as *Morgan* held with respect to the FAA?

II. INTRODUCTION

II. INTRODUCTION

This case presents the Court with an ideal vehicle for addressing the core issues that now must be decided by this Court following the U.S Supreme Court's unanimous opinion in *Morgan v. Sundance*. The recent *Morgan* decision abrogates the rule established by *St. Agnes* in 2003 and modified by *Iskanian* in 2014, which makes prejudice the "critical factor" requirement when determining, at least in cases arising under the FAA, whether a party has waived its contractual right to arbitration. In the wake of *Morgan*, therefore, this Court must decide what basic principles of California contract law should be applied to determine whether a party has waived its contractual right to arbitration. Further, this case presents the Court with an ideal vehicle to determine whether there is in fact—or should be—any distinction between the FAA and the CAA on the issue of waiver of the contractual right to arbitrate.

The facts of this case squarely present the issues before this Court after *Morgan*. The Respondent, despite being fully aware of its supposed contractual right to arbitrate, waited thirteen months after engaging in significant discovery before filing a petition to compel arbitration. The trial court found the Respondent had waived its right to arbitration; but the Court of Appeal reversed, relying on the now-abrogated prejudice requirement in *St. Agnes*. No

No factual disputes related to waiver exist.[2] Furthermore, the parties fully briefed the issue of whether the FAA or the CAA applied in this case, but neither the trial court nor the Court of Appeal even reached the issue. Accordingly, this Court should grant review to decide the impact of *Morgan* in California and to provide guidance to state and federal trial and appellate courts regarding the application of California's "ordinary procedural rule[s]" to arbitration agreements. (*Morgan*, 142 S.Ct. at 1713.) The instant case is the ideal opportunity for the following three reasons.

First, *Morgan* has abrogated the prejudice requirement of *St. Agnes* for cases arising under the FAA. *Morgan* declined, however, to decide which state-law contract procedure governed that case because each state's high court retains primary authority to determine the principles of state contract law. (*See Morgan*, 142 S.Ct. at 1712 (declining to determine which applicable standard for unenforceability or revocation of contract applies under state law, such as "waiver, forfeiture, laches, estoppel, procedural timeliness," or other grounds).) It is clear that, at least with respect to cases governed by the FAA, the rule in *St. Agnes* no longer applies, and it remains for this Court to say which rule does. The developed and undisputed factual record in this case lends

[2] The waiver analysis presents a pure question of law on undisputed facts. The unpublished portion of the Court of Appeal's opinion, dealing with unconscionability of the arbitration agreement, implicates many factual issues. However, the trial court did not reach the issue of unconscionability and therefore never made factual findings in relation to unconscionability before the Court of Appeal made its own factual determinations.

Vietnamese descent. (AA010.)[3] In 1989, Defendant-Respondent California Commerce Club, Inc. hired Mr. Quach as a "Floorperson" to supervise activity on the gambling floor of its casino in Commerce, California. (AA010.) Mr. Quach remained in that position for nearly 30 years, until 2018, when Respondent fired him. (AA011.)

III. STATEMENT OF CASE

A. Factual Background

1. Peter Quach's employment and termination.

In 2015, Respondent hired new upper management. (AA010.) Afterwards, Mr. Quach observed several occasions on which older employees were written up, suspended, and/or terminated for minor, trivial, nonexistent, and even fabricated violations. (AA011.) Mr. Quach himself was abruptly fired over a pretextual incident involving Mr. Quach's acceptance of five allegedly counterfeit $20 bills. (AA011.)

2. Respondent's arbitration agreement and its execution.

In 2015 (the same year as the shift in upper management), Respondent's Human Resources Department notified all casino employees they were required to attend a meeting about arbitration. (AOB9 (citing AA72-79).) Respondent proceeded to call groups of employees into a conference room where they were given a form arbitration agreement and made to watch an eight-minute video about the new arbitration policy. (AOB9.) The video explained that signing the arbitration agreement was a mandatory condition of employment going forward and they had thirty days

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[3] Mr. Quach's record citations use the following format: "AA" (appellant's appendix); "AR" (augmented record); "AOB" (appellant's opening brief in COA); "ROB" (respondent's opening brief in COA).

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counterclaim without asking for a stay of the proceedings; (5) "whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place"; and (6) whether the delay "affected, misled, or prejudiced" the opposing party.

(*St. Agnes*, 31 Cal.4th. at 1196 (quoting *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992), brackets in original.)

Among these factors, *St. Agnes* placed special emphasis on the prejudice factor, declaring that "[t]he presence or absence of prejudice from the litigation of the dispute is the determinative issue under federal law.'" (*St. Agnes*, 31 Cal.4th. at 1203 (quoting *Doers*, 23 Cal.3d at 188).) Relying on this federal law, *St. Agnes* established that "[i]n California, whether or not litigation results in prejudice also is critical in waiver determinations." (*Id.* at 1203 (citing *Keating v. Superior Court* (1982) 31 Cal.3d 585, 605 and *Doers*, 23 Cal. at 188).) In establishing this critical prejudice requirement, *St. Agnes* limited what kinds of burden constitute prejudice in this context by asserting "[w]aiver does not occur by mere participation in litigation if there has been no judicial litigation of the merits of arbitrable issues." (*Id.* (quoting *Christensen v. Dewor Developments* (1983) 33 Cal.3d 778, 782).)

St. Agnes's inclusion (and elevation) of a prejudice requirement for establishing waiver of a contractual right to arbitration has no basis in California contract law. In any other context, "[w]aiver requires an existing right, the waiving party's knowledge of that right, and the party's actual intention to relinquish the right." (*Lynch v. California Coastal Com.* (2017) 3 Cal.5th 470, 475 (internal quotations omitted).) Rather than

2. Morgan abrogates the prejudice requirement established in *St. Agnes*.

For cases arising under the FAA, *Morgan* abrogates this Court's decision in *St. Agnes* and expressly bars its "critical" prejudice factor to the extent that this requirement has no basis in general principles of California contract law. *Morgan* expressly overrules nine federal courts of appeals, including the Ninth Circuit, which had "invoked 'the strong federal policy favoring arbitration' in support of an arbitration-specific waiver rule demanding a showing of prejudice." (*Morgan*, 142 S.Ct. at 1712 & n.1.) The case had come from the Eighth Circuit, and the U.S. Supreme Court noted that the Eighth Circuit's "arbitration-specific rule derives from a decades-old Second Circuit decision, which in turn grounded the rule in the FAA's policy." (*Id.* at 1713 (citing *Carcich*, 389 F.2d at 696); *see also Erdman Co. v. Phoenix Land & Acquisition, LLC* (8th Cir. 2011) 650 F.3d 1115, 1120 n.4 ("trac[ing] the origins of [the Eighth Circuit's] prejudice requirement to *Carcich*").)

In *Morgan*, the U.S. Supreme Court struck down this precedent, holding that "the text of the FAA makes clear that courts are not to create arbitration-specific procedural rules" and explicitly rejected any prejudice requirement for waiver when the general waiver principles of the state do not include one. (*Morgan*, 142 S.Ct. at 1714.) As of today, following *Morgan*, courts applying the FAA must look to general state-law contract principles to determine waiver, but arbitration-specific rules are prohibited. (*Id.*)

V. CONCLUSION

For the foregoing reasons, Mr. Quach respectfully requests that the Court grant plenary review of the Court of Appeal's opinion.

Dated: June 20, 2022

Respectfully submitted,

/s/ Nilay U. Vora

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CERTIFICATE OF COMPLIANCE

I certify that the attached PETITION FOR REVIEW uses a 13-point Century Schoolbook font and contains 7,881 words.

Dated: June 20, 2022

Respectfully submitted,

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PROOF OF SERVICE

I certify that the foregoing PETITION FOR REVIEW was electronically served on the following interested parties on June 20, 2022, in the manner described.

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